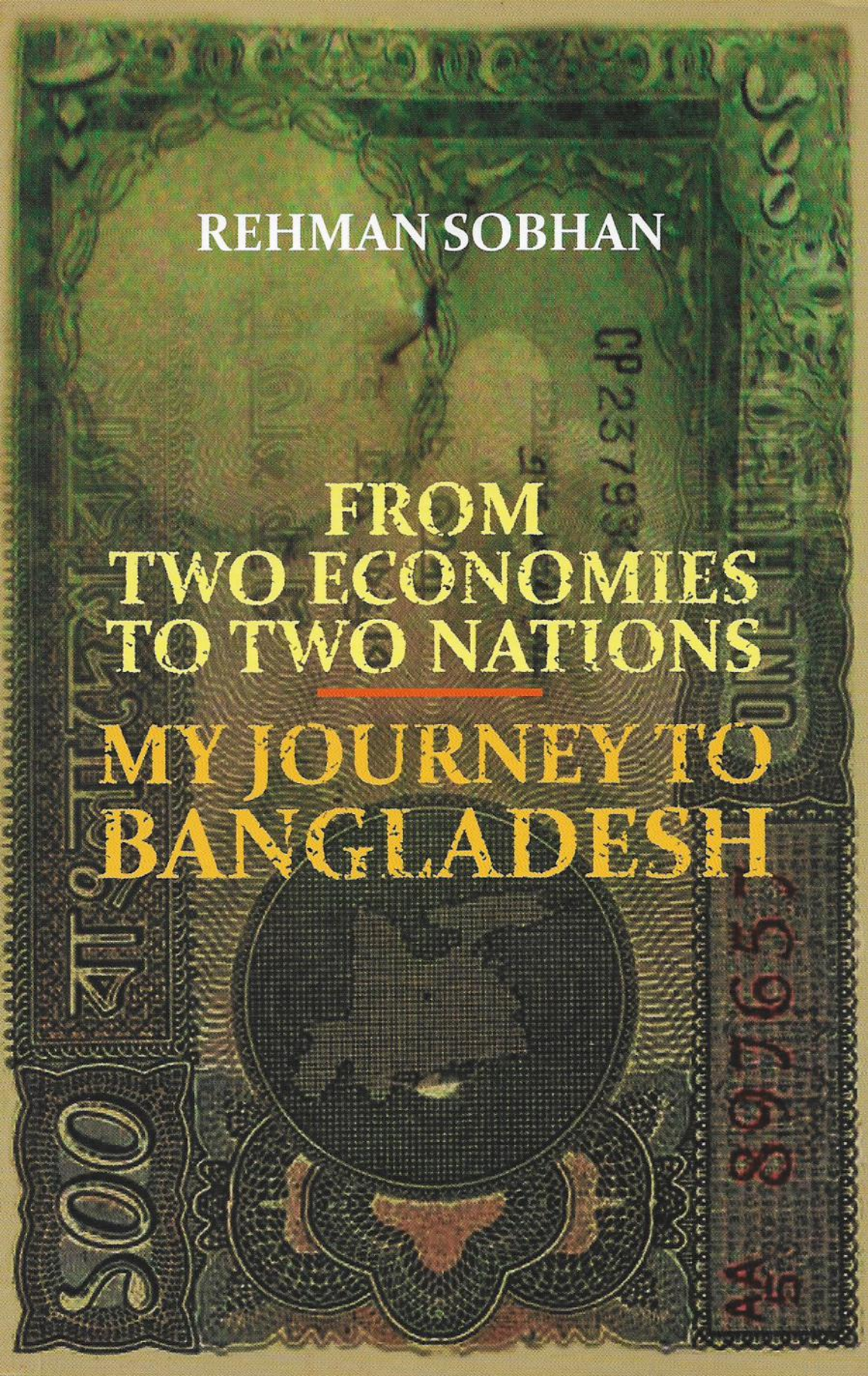
REHMAN SOBHAN

FROM TWO ECONOMIES TO TWO NATIONS

MY JOURNEY TO BANGLADESH



the idea of a united and sovereign Bengal that the idea of the Muslim majority areas of Bengal and Assam joining a "moth eaten and truncated" Pakistan was accepted as the ultimate home of Bengali Muslim nationalism. Needless to remark that when Mr. Jinnah talked of a moth eaten and truncated Pakistan he did not think of what was West Pakistan which inherited the whole of Sind, Balochistan, North West Frontier Provinces and the best parts of the Punjab, including its capital in Lahore. He was thinking of Bengal which left behind it's capital, Calcutta, and its entire industrial base, one of the biggest in India, its principal port, one of the biggest in India and brought into Pakistan the backward agrarian hinterland of Bengal and the tea growing district of Sylhet in Assam. Thus, Bengali nationalism as it found expression in the Pakistan movement ultimately had to define its national identity in terms of the majority community, defined by religion, located in the territories of Eastern Bengal and Sylhet, as delimited under the Radcliffe Award. Such a territorially delimited definition of Bengali nationalism had to take cognizance of the large number of non-Muslims who constituted 22 per cent of the population of Eastern Bengal at the time of the partition of India and Bengal.[4]

Whatever may have been the origins of Bengali nationalism up to August 14, 1947, after this date Bengali nationalism came to be exclusively defined in terms of the territory which then constituted the province of East Bengal in Pakistan and now constitutes Bangladesh. This definition of nationalism now included non-Muslims but in most cases, by choice rather than definition, excluded the 1 per cent of the population who emmigrated to East Bengal from other parts of India. The smaller fraction of non-Bengali tribals living in the Chittagong Hill Tracts and Garo Hills of what is now Bangladesh constitute their own grey area in our definition of nationalism.

Economic Deprivation

This limited essay to define nationalism is of some relevance to our paper since it defines the contours of economic deprivation in the context of Bengal. Upto 1947 the people of East Bengal in general and the Bengali Muslims in particular felt deprived in relation to metropolitan Bengal and the majority community of Hindus. This deprivation derived from the fact that West Bengal was much more developed than Eastern

Bengal. However, within Eastern Bengal the Bengali Muslims felt that their economic life was largely controlled and dominated by communities other than their own. Land ownership was thought to be largely held by Hindu landlords with Muslims being in the position of tenant farmers or small holders. Financial intermediation, trade, commerce and rural industry were largely controlled by Bengali Hindus and in the upper reaches of commerce in some trades by Marwaris.

What passed for capitalist industry was either in the hands of the British, as in the case of the tea industry in Sylhet and the mechanised river transport which constituted the main arteries of communication in Eastern Bengal. What little of modern manufacturing industry there was in the way of some textile mills and one sugar mill were owned by Bengali Hindus, who also controlled much of the urban trade and commerce and dominated the bureaucracy, teaching and legal professions.

This social stratification of Eastern Bengal is presented more in the way of stylised facts to give substance to the notion of the Bengali Muslims seeing themselves as a deprived community. Other papers in this volume will be able to present more specific information on the social structure of pre-1947 Bengal and will indicate that by 1947 the emergence of some elements of a Muslim *jotedar* class with some capacity for financial intermediation was emerging as was the proportion of Bengali Muslims in government service advancing in numbers if not in rank.[5]

The Bengali Muslims sought to advance themselves within a polity where they were politically in command of the machinery of state. They expected to assume control over title to land, to use the machinery of state to advance themselves by and in education, in government service and the professions, to develop the infrastructure of Eastern Bengal and to promote the industrialisation of this region.

Given the fact that Bengali Muslim entrepreneurship was virtually non-existent, the state was expected to both mobilise resources and initiate the process of economic development and structural change. Given the importance vested in the machinery of state as the prime mover of economic development, Muslim nationalism put great emphasis on the control over the machinery of the state. Since the Muslims of India chose to define their national identity in terms of religion, they could only visualise a structure of national power which was dominated by the majority Hindu community. Since the Hindus

dominated commerce, industry and the professions, their control over state power was seen as a means of perpetuating communal hegemony of the majority over the minority community. Such a perspective paid little attention to class, ethnic or territorial disparities within India.

The Muslim majority communities of North Western India, where Muslims were politically dominant and economically far from being deprived, were put in the same boat with the Muslims in a minority in other parts of India or in a relatively deprived and backward state as in Bengal. In such a situation, the perspectives of a Bengali *proja* or tenant farmer, who voted for Pakistan so as to elect a legislature which would abolish the hold of Hindu *zamindars* and *mahajans* over his daily life, was somewhat different from that of the Noons and Tiwanas of Punjab, the tribal chiefs of NWFP and Balochistan and the *Waderas* or landed elite of Sindh who sought regional power to retain the domination of their provincial power structures against encroachments by a Hindu dominated centre.

To the extent that both the Muslim landlords of North Western India and the peasants of East Bengal sought a polity which gave them political power to direct economic development within the respective regions, the Pakistan movement provided a coalition of expediency to capture local if not national power. The struggle for independent national power for the Muslims of India derived from the failure of the Muslim majority provinces to ensure sufficient political autonomy to direct their own affairs. But for the Muslims of Bengal this power was also sought to correct the economic deprivation vis-a-vis the economically dominant Hindu community. The Lahore resolution which spoke of separate Muslim majority states was thus, whether by design or accident, the logical outcome of the concerns of the Muslims of these two region of India.[6]

The state inherited by the Bengalis of Eastern Bengal on 14 August 1947 was thus shared with the Muslims of North Western India and refugees from the minority provinces of India, including some from West Bengal. These citizens, drawn from diverse regions and backgrounds, entered Pakistan with rather divergent and even contradictory perspectives on the political economy of the new state.

Of all the divergent social forces, which constituted Pakistan, the Bengalis had the most ambitious expectations. Even in the minority provinces of India, Muslims were well represented in commerce,

professions and in artisan skills in the South and West of India. In the northern regions of the Hindi speaking belt, Muslims were part of the dominant class of landowners and professionals whose mother tongue, Urdu, was indeed the shared language of the upper classes of this region. It was, thus, the Bengalis of Eastern Bengal, amongst all the communities, which inherited Pakistan, who had been exposed to external political and economic domination by Mughal rulers from northern India and their lieutenants, by the British and by Bengali Hindu Zamindars. The backwardness of Eastern Bengal was, thus, correlated with the alienation of the peoples of this region from political power and control over economic resources. The struggle for Pakistan and the struggle for power within Pakistan, which eventually focused on the struggle for self-rule from Pakistan, thus constituted a continuum within the consciousness of the Bengalis of Eastern Bengal and should not be seen as a set of discrete historical episodes.

3. Economic Deprivation of the Bengalis in Pakistan

Some Conceptual Issues

Economic deprivation may be seen in both absolute and relative terms. The deprivation of a person living in poverty is measured in terms of some absolute norms such as calorie intake or an insufficiency of entitlements to command a minimum bundle of goods and services. Deprivation may also be relative to the entitlements of another person, community or territory. To the extent that we are talking of deprivation as a basis for defining a national identity for the Bengalis, we will be looking at the concept in terms of communities and regions which inhabited a shared national space with the Bengalis.

For purposes of our analysis, we will measure deprivation in relation to command over goods and services as well as productive capacities. Such deprivations will be related to deprivation in relation to command over resources, both domestic and external, and eventually to command over the policy-making process.

The concept of relativity will be defined in this paper in relation to Bengalis and the rest of Pakistan. This will in large part be defined in terms of economic disparities between the region of West Pakistan and

public holdings. The PIDC pioneered the industrialisation of East Pakistan but it was also active in West Pakistan. Since its inception in 1952 and upto 30 June 1970,[58] PIDC set up 58 industrial projects in West Pakistan involving a total investment of Rs. 1,178 million, of which the private sector contributed 20.9 per cent. PIDC set up 74 manufacturing units in East Pakistan involving an investment of Rs. 1,864 million.[59] This indicates that 61 per cent of PIDC investment went to East Pakistan. It could be argued that an even larger share of such investment could have been located in the East wing to compensate for the preference of the private sector to invest in West Pakistan.

In the late 1950s the state committed itself to a more activist role in promoting private entrepreneurship. It set up the Pakistan Industrial Credit and Investment Corporation (PICIC) in 1957 and the Industrial Development Bank of Pakistan (IDBP) in 1961 which took over the assets and liabilities of PIFCO. The government also set up the Investment Corporation of Pakistan (ICP) in 1966 and the Equity Participation Fund in 1970. These respective agencies played an important role in promoting private industry in Pakistan.[60] However, as of 1957-60, of the total of Rs. 4,807 million sanctioned by these agencies, Rs. 1,925 million (40 per cent) went to projects in East Pakistan. Out of a further Rs. 1,727 million sanctioned by the Agricultural Development Banks and the House Building Finance Corporations (HBFC), Rs. 734 million (42.5 per cent) went to East Pakistan.[61] The lending policies of the public development finance institutions (PDFI) in Pakistan indicate that notwithstanding their important role in promoting private entrepreneurship in East Pakistan, they could not correct the bias in private investment which had located itself in West Pakistan. Thus, as between 1950 and 1970, 77 per cent of private sector development expenditure was located in West Pakistan. If anything the PDFI actually promoted such disparities since public lending always served as a catalyst for private investment.

Domination of Non-Bengalis in the Private Sector of East Pakistan

What was less evident in the Pakistan period was that private investment in East Pakistan did not necessarily mean investment by Bengalis. The focus of public debate in Pakistan was to locate investment in the region of East Pakistan and to use the policies and resources of the

state to so direct private investment. In practice, however, the weak entrepreneurial capabilities of the Bengali Muslims meant that much of private investment and economic activity in East Pakistan came to be controlled by non-Bengalis. We have observed that non-Bengali Muslims had begun to emerge as entrepreneurs of substance in undivided Bengal under the patronage of the Muslim League administrations in Bengal. This class was quite influential in the high command of the Bengal Provincial Muslim League (BPML).

The presence of non-Bengalis in the economic life of East Bengal received a sizable boost when the PIDC, between 1952 and 1954, set up 12 jute mills in East Pakistan, with fixed assets estimated at Rs. 229 million, in collaboration with non-Bengali business houses.[62] The EPIDC provided the foreign exchange for these ventures. Subsequently, in 1954 it disinvested the Karnaphuli Paper Mill to the House of Dawood at a cost of Rs. 68 million which was priced at well below the opportunity cost of the venture.[63] In the lending operations of the PICIC and IDBP in East Pakistan, non-Bengalis received one third of the loans.[64] Lending to Bengali entrepreneurs in the 1969-71 period was accelerated. Rs. 1,020.7 million, 46.2 per cent of all loans given out by IDBP and PICIC between 1957 and 1971, were concentrated in that period and directed exclusively to Bengali entrepreneurs as a response to the earlier criticisms of neglect by the PDFI of Bengal entrepreneurs.[65] If we exclude this period of 1969-71 and assume that all PDFI lending in East Pakistan to non-Bengali entrepreneurs took place in the 1957-69 period then, upto 1969, non-Bengalis received 62 per cent of the Rs. 1,187 million lent by the PFDIs.[66]

Direct state sponsorship and the growing attractiveness of East Pakistan as a source of investment, as the infrastructure there developed and the regional market expanded, attracted non-Bengali entrepreneurs. On the eve of the emergence of Bangladesh, the non-Bengali entrepreneurs completely dominated the urban economy of East Pakistan.[67] In the industrial sector they controlled 47 per cent of industrial assets, compared to 34 per cent controlled by EPIDC and 23 per cent by Bengalis. However, in the private industrial sector non-Bengalis controlled 72 per cent of industrial assets. Non-Bengalis also controlled 28 tea gardens accounting for 19 per cent of tea output.

In the trading sector, 93 per cent of the large import category holders were non-Bengalis, of which 57 per cent were from the Memon

community.[68] Interwing trade was also completely dominated by non-Bengalis. Where import licences were given to Bengalis they were in many cases sold off to the better established non-Bengalis. Ninety five per cent of the registered Bengali importers had only very small licences.[69] The export trade was similarly monopolised by non-Bengalis. In the jute export trade non-Bengalis accounted for 25 per cent of exports compared to 33 per cent by Bengalis and the balance was controlled by foreign and public sector shippers. However, in export of tea, paper and paper products, matches and tanned products to West Pakistan non-Bengalis were dominant. They also controlled much of the wholesale trade and also a large part of the retail establishments in the metropolitan areas of East Pakistan.

In the area of banking, 70 per cent of deposits in East Pakistan were located in non-Bengali banks, and a large part of insurance underwriting was carried out by non-Bengali insurance firms.[70] In the inland water transport sector two of the three largest ship owners were non-Bengalis.

The disparity in the location of private sector activity in West Pakistan was thus compounded by the fact that non-Bengalis, with their base in West Pakistan, largely controlled the modern economic sector of East Pakistan. This factor, indeed, contributed to export of capital from the region where profits accumulated from business ventures in the East wing could be reinvested in the West. Thus, part of the growth impulses derived from acceleration of public investments in the East ended up by stimulating growth in the West wing through investments and trading opportunities for exports from West to East Pakistan. By 1971, East Pakistan provided a market for 15 per cent of the West wing output from their large-scale industrial sector.[71]

If the private sector was to be promoted in East Pakistan it meant that resources had to be directed into Bengali hands. But this ethnic basis for resources allocation within an integrated multinational polity was hardly possible for Pakistan. Though it has been a basis of policy in Malaysia for many years to promote the economic uplift of the Malays vis-a-vis the Chinese. Moreover, the limited number of Bengali entrepreneurs to take up public resources was also a problem. Resources in the way of import licences, permissions for setting up industry and PDFI credits, often ended up in the hands of non-Bengali businessmen. However, in the 1960s a conscious effort to channel PDFI resources to Bengali

businessmen was made and for the first time a Bengali was appointed the Managing Director of the IDBP. After the change of regime in 1969 in response to the upsurge of Bengali nationalism, the PDFIs stepped up their lending activities in East Pakistan and began targeting loans to Bengali applicants.

Development of Bengali Entrepreneurship

Given the weak entrepreneurial capabilities of Bengalis, the public sector led by the EPIDC had to play a more active role in promoting the industrialisation of East Pakistan. The public sector had to substitute private entrepreneurship and its expansion was used as a covert strategy by the East Pakistan bureaucracy to preempt further domination of the economy by non-Bengalis. In the late 1960s the EPIDC pioneered the induction of Bengalis into the jute industry. It invested Rs. 35.5 million in setting up 10 jute mills in collaboration with Bengali entrepreneurs.[72] With further support from the PDFIs, these private owners had to contribute only 20 per cent of a total investment of the Rs. 174 million needed to set up these mills. EPIDC also disinvested, on favourable terms, a textile mill for Rs. 24.7 million and a sugar mill for Rs. 31.9 million, to Bengali entrepreneurs, who were, in turn, underwritten by the banks in the purchase of these mills.[73]

The end result of these efforts at building up a Bengali entrepreneurial class meant that at liberation Bengalis accounted for 18 per cent of fixed assets in the modern industrial sector. However, five-sixths of this investment was located in the jute and textile sector plus one disinvested sugar mill so that most Bengali entrepreneurship was really located in small and a few medium-scale industries.

In the banking sector Bengalis had set up two banks, the Eastern Mercantile Bank and the Eastern Banking Corporation. In the insurance sector 12 companies were owned by Bengalis at liberation.[74] They commanded only a small share of assets and in 1969/70 accounted for only 10 per cent of life insurance underwriting. In trade their main headway had been in raw jute exports. Though most Bengali jute exporters were members of the Small Shippers Association, together they accounted for about a third of all jute shipments. A number of Bengalis, such as the house of Zahurul Islam, had begun to receive awards for big civil construction contracts. Some retired civil servants

opportunities in West Pakistan. They resented having to go to Karachi and Islamabad to promote their business ventures and resented the patronage extended to non-Bengali businesses operating in this area by non-Bengali civil servants who in the early years ran the East Pakistan secretariat. When Bengalis came to positions of prominence in the East Pakistan Secretariat, they resented their lack of power and control over resources and responsibilities compared to Islamabad. It was only when Bengalis began to take over national institutions such as IDBP and to become Secretaries in the Centre that Bengali businessmen began to acquire confidence that the balance of opportunity was moving in their favour.

Thus, democratic power of Bengalis in the Centre, full regional autonomy and finally an independent Bangladesh represented for the nascent class of Bengali entrepreneurs the opportunity of escaping from the shadow of non-Bengali commercial dominance in the same way that Pakistan provided an escape to the Memons and Chiniotis from the dominance of the Marwari and Gujarati business house in undivided India.

5. Bias in Economic Policy Making

Competition over the allocation of resources remained at the centre of the East-West economic conflict. However, access to public resources and economic opportunities were conditioned by public policies which influenced both the location of economic activity and the sources of financing. We will look at four areas of public policy which reflected regional bias in economic policymaking and accentuated the sense of deprivation which fuelled Bengali nationalism. These areas cover issues of commercial policy, exchange rate policy, federal finance and external resource mobilisation.

Commercial Policy

The issue which burned most deeply into the consciousness of Bengalis was their deprivation from using the exchange earnings generated by exports out of East Pakistan. Someone whose name is lost in antiquity remarked on the eve of partition in 1947 that the future of Pakistan depends on the life of the Quaid-e-Azam and the price of raw jute. Both presumptions were somewhat exaggerated but merit repetition because of the significance attached to jute exports.

Whilst jute was Pakistan's principal export in 1947 its principal market

was in India, which accounted for 65 per cent of its market compared to 35 per cent which was exported to the rest of the world.[75] This situation reflected the industrial disparity between West Bengal where the jute mills of India were located, and East Bengal where the best jute was produced. Be that as it may even after 1947 the jute trade with India remained a lifeline for millions of agriculturists in East Bengal. Free trade with India after 1947 persisted largely to avoid disruption to the growers of jute and also of raw cotton in West Pakistan where upto 1946, 80-90 per cent of the crop was exported to India. After partition a conscious effort was made to diversify markets for raw jute and cotton. By 1948/49, exports to other countries accounted for 48 per cent of jute production but India still absorbed 48 per cent of the jute crop and 43 per cent of West Pakistan's cotton crop.

This lifeline for jute growers was threatened when trading relations with India were suspended as a consequence of Pakistan's refusal to join India in devaluing the rupee in 1949.[76] Whatever be the merits of this dispute the brunt of the burden was borne by the jute growers of East Bengal whose money incomes fell drastically due to the fall in both jute sales and price. The index of jute prices fell from 100 in April 1948 to March 1949 to 7 between April and September 1950.[77] A more serious decline was overcome by the fortuitous outbreak of the Korean War which stimulated the demand for all commodities including jute when price and earnings rose sharply. East Bengal's export earning doubled from Rs. 620 million in 1949/50 to Rs. 1,210 million in 1950/51.[78] This episode is cited here to indicate how commerce policy enacted in Karachi impacted on the life of growers in East Bengal.

Whilst the disruption in jute exports to India was compensated by the development of alternative markets and the growth of the jute industry in East Bengal, the resultant move by India to completely substitute the imports of jute from East Bengal had more lasting consequences. Production of jute in Eastern India expanded from 1.57 million bales in 1945/46 to 4.68 million bales in 1951/52 and 5.2 million bales in 1958/59.[79] Exports from East Bengal to India fell from 4 million bales in 1945/46 to 2.6 million bales in 1951/52 and to 0.2 million bales in 1958/59.

Exchange Rate Policy

The first exposure of Bengalis to the discriminatory character of

commercial policy was compounded by the longer term impact of import and exchange rate policy. With the collapse of the Korean boom in 1952, Pakistan moved into a regime of stringent import controls. This sustained an overvaluation of the rupee over the subsequent history of Pakistan upto 1971 which required administrative rationing of foreign exchange and a regime of high import tariffs. In the 1950s upto the devaluation of 1955, the rupee was overvalued by more than 100 per cent.[80] This overvaluation was somewhat moderated after 1958 but still remained between 74 and 100 per cent in the 1960s.

East Pakistan paid the price of this particular policy regime in two ways. This overvaluation of the rupee meant that jute growers were receiving a lower price for their exports whilst importers of Pakistan were receiving a subsidy. It has been estimated by a noted Bengali economist that in a single year, 1959/60, this overvaluation represented a concealed taxation of 6.4 per cent of a jute grower's income.[81] Given the higher overvaluation of the rupee in earlier and later years, this taxation could have been as high as 10 per cent of the jute grower's income.

No corresponding benefit accrued to importers in East Pakistan since the second outcome of the restrictive import policies of the Pakistan state was its bias in allocation of foreign exchange to West Pakistani importers. Since 1952 very little of *laissez faire* prevailed in the import market of Pakistan. The overvalued exchange rate ensured an excess of demand over supply for foreign exchange which was managed by a system of administered import entitlements which rationed foreign exchange.[82] The bias in this system of administered exchange allocation may be seen by the fact that 69 per cent of imports coming into Pakistan between 1947 and 1971 went to West Pakistan.[83]

Part of this regional bias in imports derives from the dynamics of the market. A larger, more dynamic economy generates greater demand for imports of consumption, intermediate and capital goods. The resultant growth in the more favoured region further increased the appetite for imports. Thus, the faster growth and more rapid industrialisation of West as compared to East Pakistan obviously generated a larger market for imports. It is, however, argued that both wings lived with an unsatisfied demand for imports due to the overvaluation of the rupee. Thus, in a regime of import controls it remained within the discretion of the policymakers to more fully satisfy the demand for imports of one region

over another. Given the need to commit resources to accelerate the development of the lagging East wing, such a discriminatory import policy would have attracted resources to the region which would have served to promote greater regional balance in investment and narrowed disparities in output and incomes.

In fact, import rationing worked in a contrary direction. We have already observed how the allocation of cash import licences in the 1950s for commercial imports went largely to importers in West Pakistan. The mechanism of import rationing derived from the system of import entitlements which was based on an importer's historical imports in the early 1950s. Since this was the OGL period where imports largely went to West Pakistan, the original disparity in favour of West Pakistan became, under this system, self-perpetuating.[84] Import licences to set up industries in West Pakistan in the early 1950s then provided, in a later period, the basis for a larger share of import entitlements into West Pakistan for imports of industrial raw materials and spares. There was no way that East Pakistan could catch up to West Pakistan in the way of imports under this system unless a conscious policy decision was taken to give 90 per cent of commercial import licences to East Pakistan, to induct new import category holders from East Pakistan, preferably Bengalis and to only permit new industries to be set up in the East wing over a period of time. Such an interventionist arrangement was obviously politically unacceptable and would have also created severe market problems due to the increasing gap between the demand and supply of imports into West Pakistan.

The outcome of this distortion in exchange rate policy and the discriminatory allocation of import entitlements was further aggravated by the fact that within East Pakistan the principal beneficiaries of the import entitlements were non-Bengalis, both commercial importers and industrial importers. This commercial and exchange rate policy regime thus not only maldistributed resources between East and West Pakistan but between Bengali jute growers and non-Bengali industrialists and traders within East Pakistan.

Financing the Trade Deficit

The logic of the market place and the dynamics of cumulative causation may have been made marginally more tolerable if East Pakistan

had not been the principal source of foreign exchange earnings in Pakistan. Between 1947/48 and 1969/70, East Pakistan accounted for 55 per cent of Pakistan's export earnings of Rs. 46.7 billion.[85] In these 23 years only in six years did West Pakistan's export earnings exceed East Pakistan's; three of these years were in the period of 1948/49 to 1952/53 and three in the last three years of Pakistan from 1967/68 to 1969/70 when the many years of higher industrial investment in Pakistan paid off in a rising export volume and a more diversified export structure. Between 1947/48 and 1966/67, with the exception of 1963/64 and 1964/65, East Pakistan ran a constant surplus in its exports over its imports. Only in the last three years, 1967/68 to 1969/70, did East Pakistan, as a result of a rise in imports and a stagnation of its exports, run into deficit on its foreign trade account. In contrast, in the entire 23-year period, West Pakistan ran an external trade deficit in every year, except 1950/51. The trade surplus accumulated to East Pakistan came to Rs. 5.5 billion compared to a deficit accrued to West Pakistan of Rs. 23.2 billion.[86] It was this imbalance in the regional trading accounts which gave currency to the view that East Pakistan transferred resources, particularly in the 1950s, to finance West Pakistan's faster industrialisation, growth and diversification compared to East Pakistan.

The sense of deprivation in East Pakistan was not assuaged by the fact that West Pakistan ran a perennial surplus on interwing trade with East Pakistan. This imbalance grew in successive time periods and by 1969-70 amounted to a cumulative deficit of Rs. 7.5 billion for East Pakistan. West Pakistanis claimed that in fact East Pakistan's transfer of resources to West Pakistan on its external account was partially compensated by West Pakistan's interwing trade surplus. This view was repudiated by Bengali economists on account of the fact that the interwing and international trade surpluses were not comparable owing to the overvaluation of the Rupee. Furthermore, a Rupee surplus was not comparable to a foreign currency surplus since in the absence of a Pakistani capital goods industry, only foreign currency could be used to buy the capital goods needed to sustain development and structural change.

Disparities in Appropriation of Foreign Aid

The situation was somewhat complicated by the emergence of foreign aid as a major source of external finance. From the late 1950s Pakistan

became increasingly more dependent on foreign aid to sustain its development activity. Upto December 1970, Pakistan received loans and grants valued at $7 billion.[87] Of this $5.6 billion came as loans and $1.4 billion as grants.[88] Of the loan funds $2 billion went for project aid, $0.9 billion for non-project aid and $0.15 billion as US PL480 food and commodity loans.[89] Most of the grant funds were for food aid but also included some project and commodity aid. Table 5 gives us a breakdown of the distribution of aid and loans between East and West Pakistan. The available evidence indicates that out of $7.6 billion of foreign economic assistance committed to Pakistan between 1947 and 1970, $2.02 billion (2.6.4 per cent) went to East Pakistan. Of the funds committed between 1947 and 1970, some $6.4 billion was utilised. Of this $1.9 billion (30 per cent) was utilised in East Pakistan.

Foreign aid emerged as a crucial variable in underwriting the development of Pakistan. Rupees 91.94 billion of development expenditure was incurred in Pakistan between 1949 and 1970. Of this it is estimated that Rs. 61.58 billion or 67 per cent was made up of disbursed aid.[90] In the case of West Pakistan, aid contributed to 68 per cent of its total development expenditure of Rs. 62 billion and in East Pakistan aid accounted for 64.5 per cent of its Rs. 30 billion of development expenditure.

It is thus clear that disparities in development expenditure were highly sensitive to aid commitment and disbursement. We have observed that East Pakistan received 30 per cent of aid disbursements and also incurred 30 per cent of total development expenditure. Thus, disparities in commitment and disbursement of aid in favour of West Pakistan clearly impacted on disparities in levels of development in the two regions. It was thus hardly surprising that the disparities in access to aid fuelled the sense of economic deprivation felt by Bengalis and inspired discussion on East Pakistan's legitimate share of aid appropriated by West Pakistan.

Transfer of Resources from East to West Pakistan

The surrender of foreign exchange earnings and the surrender of East Pakistan's share of aid coalesced around the issue of transfer of resources. Bengalis in the 1950s believed that the external surplus was financing West Pakistan's deficit. This transfer was not compensated by the East wing's trade deficit with West Pakistan on interwing account.

However, if we add in the "due" share of East Pakistan of foreign aid surrendered to West Pakistan, then a more comprehensive measure of the transfer of resources from East to West Pakistan can come to hand.

Some of this debate tends to suffer from conceptual confusion and serious problems of estimation. This task was most definitively tackled by the Bengalis on the Panel of Economists for the Fourth Plan. They managed to bring the estimates for interwing and international trade flows on par by appreciating the rupee value of the international trade figures by the extent of the overvaluation of the Pakistan rupee for all years between 1949/50 and 1969/70. They then went on to compile balance of payments estimates for East and West Pakistan in order to take account of the flow of the invisible items in the flow of resources. This task had always inhibited economists from putting together a more definitive measure of resource transfers. The Bengali panelists, making some heroic assumption about attributing debit and credit for such items as transportation, insurance, investment income, government expenditure, remittances, etc., compiled a set of regional balances.

In Table 6 we present the regional balance of payments estimates prepared by the Panel of Economists. It is clear that the East wing ran a payments surplus upto 1960/61 which rose to Rs. 5.4 billion at scarcity prices. In contrast, West Pakistan ran a deficit of Rs. 21 billion. But in the 1960s both the regions were in deficit though the West's deficit was 13.7 times higher than for the East. The deficits for both the regions were covered by aid. West Pakistan thus received the larger share of aid. In the 1960s West Pakistan was appropriating East Pakistan's surplus on trade and payments plus it was appropriating all aid and paying for it in part through interwing exports. To the extent that the East was in surplus in the 1950s it was a net exporter of resources and received no aid. This situation changed in the 1960s with both the regions in deficit. Resource transfers from East to West thus took place through West Pakistan appropriating the "due" share of aid of the East wing. The "due" share was assumed by the Bengali panelist to be based on East Pakistan's weightage in the population of Pakistan. Transfer of resources on aid account from East Pakistan is thus derived from the difference in East Pakistan's "due" share of aid and its realised share.

In Table 7 we present an estimate of resource transfers from East to West Pakistan. The figures are derived from the estimates prepared by the

Bengali members of the Panel of Economists. The table shows that in the 1950s East Pakistan transferred Rs. 8.96 billion to West Pakistan both on account of its payments surplus and its surrendered share of due aid. However, in the 1960s it was in deficit on its payments account but surrendered Rs. 12.2 billion of its aid account so that the net transfer of Rs. 2.8 billion was well below the figure of the 1950s. In aggregate, over the 20 years, 1948/49 to 1968/69, East Pakistan transferred Rs. 11.8 billion of resources which underwrote the development of West Pakistan. This came to 19 per cent of West Pakistan's total development expenditure in the corresponding period. If this Rs. 11.8 billion was used for the development of East Pakistan, the region's development effort could have been augmented by 39 per cent.

It was thus a serious fallacy to presume that West Pakistan's faster rate of development derived from its capacity to mobilise a higher proportion of resources than East Pakistan. In fact, it was East Pakistan's savings and share of aid which enabled West Pakistan to develop beyond its own means. The rate of domestic savings in East Pakistan during 1955-60 was estimated at 7.69 compared to 4 per cent in West Pakistan. In 1960-65 East Pakistan's savings rate was 4.3 per cent compared to 0.9 per cent for West Pakistan.[91]

It was quite ironical that the relatively more backward but more populous region of Pakistan should have thus surrendered its resources and share of aid negotiated in the name of the whole country to promote the development of the more developed part of Pakistan. Equity and democracy would have suggested the reverse.

It was thus not surprising that the issue of transfer of resources became an issue of bitter controversy and more than anything else accentuated the sense of deprivation amongst the Bengalis.

Problems of Federal Finance

Whilst the flow of resources on trade and aid account remained a critical vehicle for perpetuating imbalances between East and West Pakistan, the system of federal finance provided a parallel vehicle. The federal budget collected revenues from both the regions based on fiscal levies and surpluses generated by public enterprises.

In turn, these revenues were spent in either region either by the central or the respective provincial governments. Estimation of revenue